

BEFORE THE
NEW YORK STATE
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the
Rates, Charges, Rules and Regulations of
New York State Electric & Gas Corporation for
Electric Service

Case 22-E-0317

Proceeding on Motion of the Commission as to the
Rates, Charges, Rules and Regulations of
New York State Electric & Gas Corporation for
Gas Service

Case 22-G-0318

Proceeding on Motion of the Commission as to the
Rates, Charges, Rules and Regulations of
Rochester Gas and Electric Corporation
for Electric Service

Case 22-E-0319

Proceeding on Motion of the Commission as to the
Rates, Charges, Rules and Regulations of
Rochester Gas and Electric Corporation for
Gas Service

Case 22-G-0320

Complaint of Cedar Valley Townhomes Association
and Others Against New York State Electric & Gas
Corporation Concerning Rate Increases

Case 22-E-0298

Reply Statement Regarding the NYSEG/RG&E Electric and Gas Joint Proposal

Submitted on behalf of:
Ratepayer and Community Intervenors,

July 7, 2023

**The Rate Case Joint Proposal is flawed and cannot be approved due to Procedural Errors
Impacting the Outcome of the NYSEG-RGE Rate Case**

As discussed in more detail below, handling of the matters assigned to a parallel case #22-E-0298, rather than being directed for participation in the Cases 22-E-0317 et. al. did not meet procedural guidelines for settlements. This has denied participation to hundreds of interested parties or their representatives.

Several Joint Proposal Statements and instructions issued this week are relevant. These include the Cedar Valley Homeowners Association and AARP Statements of Opposition of June 27, 2023.

Stipulation from CASES 90-M-0255 and 92-M-0138 were provided, cited and attached by ALJ Lecakes in email of July 5, 2023 as applicable in the NYSEG-RGE Rate Cases at issue here, and contained the following:

PROCEDURAL GUIDELINES FOR
SETTLEMENTS (1992)

Page 2: "The rights of interested parties to participate fully in shaping a settlement agreement must be protected, especially when early settlement of issues among the major parties is possible. Each party need not attend or participate in all negotiating sessions, ***but actual notice to all parties of such meetings is a prerequisite for approval by the Commission of a settlement agreement*** and should be protected by regulation." (emphasis added)

Page 5: "A reasonable time will be given so that parties entering negotiations for the first time can develop a position."

However, the Procedural Errors made in these rate cases led to incomplete and unequal treatment of complaints in Cases 22-E-0317 et. al. and related Case 22-E-0298, undermined the public interest and sidelined hundreds of ratepayers:

Because of how the Cedar Valley Homeowners Association case was handled, they were not given due notice and they have lost their opportunity to participate in the NYSEG joint proposal negotiations.

Because of how the Northside petition was handled, they have similarly been denied due process and have lost their opportunity to participate in the RG&E negotiations.

Creation of a parallel case sidelined interested parties: Parties to Case 22-E-0298 were not informed until June 15, 2023 of the inclusion of their case within Cases 22-E-0317 et. al.

Cedar Valley Homeowners Association filed a request for an audit of NYSEG operations and complaint about high rates in April 2022, assigned a Case #22-E-0298 but never informed of the establishment of that case or of the PSC's intent to address those case issues with the larger

NYSEG-RGE Rate Cases until June 15, 2023, when a notice to that effect was issued but also never received by the homeowners association or any of the 326 signatories to the original request..

According to the June 15, 2023 Notice Seeking Comments issued by the Commission, "Public Service Law §71 requires an investigation into a written complaint signed by no less than twenty-five customers." It goes on to inform members of both cases that, "On May 3, 2022, the Cedar Valley Townhomes Association (Petitioners) filed a petition objecting to the rates charged by New York State Electric & Gas Corporation (NYSEG) in 2022. The petition was signed by 326 NYSEG customers." The notice further says: "The Petitioners state that the commodity and delivery rates for 2022 are "grossly unreasonable and unsustainable," and, in some cases, constitute a 50% increase." The notice also informs the parties in both cases that comments for review are requested prior to July 31, 2023.

That copy of the June 15, 2023 Notice Seeking Comments, which the Cedar Valley Townhomes Association did not receive directly from DPS and only learned about their case or of the existence of any other relevant case in which they might have an interest. after being contacted by other parties the week of June 19, 2023. To their knowledge, they were not informed directly by DPS of the online Matter Master, the assignment of a case number, or of additional process available to them regarding their utility rates. Only on June 15, 2023 was there a notice from DPS that,

"On May 26, 2022, NYSEG filed tariff leaves seeking new electric rates in its service territory. NYSEG's rates, charges, and practices are being reviewed in Case 22-E-0317, the proceeding that was initiated as a result of NYSEG's filing."

In addition, because Cedar Valley Townhomes was not aware of their ability to receive electronic delivery or existence of the matter master, it is not clear whether they ever received any notice prior to June 27, 2023, when they were able to register as parties to the rate case only a half hour prior to the deadline to file statements of opposition.

Cedar Valley dates:

1). Cedar Valley Townhouse Association original complaint and request for investigation of April 23, 2022, with specific requests, sent return receipt requested, to both PSC locations, the governor, electeds, and others (Cedar Valley received the post office receipt but no mail from the PSC):

Specific requests: "We insist on reopening an investigation into NYSEGS's application for rate increases; knowing how the new rates were determined and justified; a WELL ADVERTIZED public hearing; actual (not estimated) monthly meter readings and a reduction of current rates, to more reasonable, consumer tolerable levels, while still allowing NYSEG to make a reasonable profit."

2) The PSC notice seeking comments of June 15, 2023 to both Cedar Valley and the Rate Case. (Which Cedar Valley received from Ratepayer and Community Intervenors but not from the PSC).

3) Cedar Valley's Statement of Opposition to all 3 cases (NYSEG Electric, NYSEG Gas, and Cedar Valley Case) filed June 27, 2023, filed less than a week after learning about any case from Ratepayer and Community Intervenors. Cedar Valley sent a cover letter and filed their original complaint/request as a letter of opposition a half hour after being recognized as an Intervening party at 4 pm on the day of the deadline for statement of support or opposition in the rate case.

Unequal treatment of Rochester Parties: However, a similar complaint signed by 132 signatories by Northside was treated differently and left as one of the 4,214 comments of objection that have been filed to the 22-E-0317 record.

That is a complaint filed on April 26, 2022 by the Sisters of Saint Joseph Ministry (also known as Northside), attaching their petition that the PSC “follow its legal mandate ‘to protect the utility consumers from potential abuse of monopoly power;’ ‘to protect the rights of New Yorkers while ensuring access to reliable and low-income utility services;’ and to ‘ensure access to affordable, reliable, sustainable and modern energy for all.’” The Northside complaint was not assigned a case number, although it had 132 signatories (well above the 25-customer threshold) and was submitted multiple times by various complainants from Rochester.

Procedural errors impact the outcome of the Joint Proposal and undermined the Public Interest: On the one hand, the Northside complaint was not assigned a case number, although it had 132 signatories (well above the 25-customer threshold). On the other hand, the Cedar Valley Association was not informed of their need to register as parties to the 20-E-0317 case in order to have their complaint included in the relevant matter where it will be addressed until a few weeks ago. Each of these constituted errors of impact to the Joint Proposal and undermined the public interest.

Conclusion: Ratepayer and Community Intervenors submits this Reply Statement as further information indicating that the NYSEG RGE Joint Proposal should be denied until such time as these matters, as well as the matters addressed in our Reply Statement made with the joint Consumer and Environmental Parties, can be addressed in a meaningful way that is consistent with all relevant laws and stipulations for the handling of Rate Cases in NYS.